

2026 - 2027 EDITION

NYC BROWNSTONE BUYER GUIDE

15

COSTLY BROWNSTONE MISTAKES TO AVOID

Before you sign. Before you waive diligence.
Before you overpay.

WHAT THIS 2026 - 2027 GUIDE HELPS YOU CATCH

- Legal-use, CO and open-job problems
- Tenant, DHCR, SRO and CONH exposure
- Tax-class and carrying-cost surprises
- Landmark, zoning and development constraints
- Inspection, compliance and financing risks



BUY THE BROWNSTONE. NOT THE PROBLEM.

A practical first-pass screen for NYC townhouse buyers, investors and owner-occupants.

SCHEDULE A COMPLIMENTARY BUYER CONSULTATION

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Montfort Real Estate

START HERE

The paperwork can be more expensive than the finishes.

The prettiest renovation does not cure an illegal unit count, open violations, or a use the lender will not recognize.

01

NOT CONFIRMING THE LEGAL USE, UNIT COUNT AND CERTIFICATE OF OCCUPANCY

Match what exists to what the City recognizes. Pull the Certificate of Occupancy (or other legal-use evidence, including older records where no CO exists), then compare it to the actual layout. A house marketed as a 2-family but legally configured differently can create financing, insurance, renovation and resale problems. Open violations and applications can also block a new or amended CO.



02

CHECKING DOB VIOLATIONS BUT IGNORING OPEN JOBS, PERMITS, OATH SUMMONSES AND STOP-WORK HISTORY

A clean-looking property profile can still hide unfinished filings, expired permits, unresolved OATH summonses or work that was never signed off. Review BIS and DOB NOW, not just the violation count. Ask who will close out each item, what it will cost, and whether the contract should require cure before closing.



03

ASSUMING A RENOVATION IS LEGAL BECAUSE IT LOOKS PROFESSIONALLY DONE

Verify that major layout changes, added kitchens/baths, structural work, decks, rear extensions and cellar/basement alterations were properly filed and signed off. "Existing" does not mean "legal." If you intend to legalize or change occupancy, have an architect or expeditor price that pathway before you value the upside.



QUICK SCREEN

Before you discuss price, ask for: CO / legal-use history, DOB job list, open permits, DOB + OATH violations, and any prior architect plans. If the physical layout and City record do not match, treat the gap as a cost - not a footnote.

TENANCY RISK

“Market rate” does not always mean “easy to vacate.”

Brownstone value often depends on whether you can occupy, renovate, combine units, or reset rents. That requires a unit-by-unit legal review.

04

NOT CHECKING IF THE PROPERTY IS RENT REGULATED

Confirm whether any unit is rent-stabilized or otherwise rent regulated before you buy. Review HCR/DHCR records, leases and available rent history because regulation can affect legal rents, future increases, occupancy strategy, renovations and value.



05

IGNORING GOOD CAUSE EVICTION WHEN EVALUATING MARKET-RATE TENANTS

2026 MUST-CHECK

Since 2024, some unregulated NYC tenants have additional protections. That can affect nonrenewal strategy and challenges to large rent increases. Coverage has exemptions and is fact-specific, so have landlord-tenant counsel analyze each occupied unit before you underwrite “vacancy” or a near-term rent reset.



06

MISSING SRO / ROOMING-HOUSE HISTORY OR ASSUMING A CONH IS IRRELEVANT

SRO history can materially limit alteration, demolition or change-of-use plans. A Certificate of No Harassment may be required before DOB will approve covered work for SROs and certain buildings in designated areas. Confirm whether the property is covered, whether a CONH exists, and whether your intended scope actually depends on one.



SELLER DOCUMENT REQUEST

For occupied buildings, request every lease and rider, renewal history, security-deposit records, rent ledger, DHCR registrations/records, notices, pending Housing Court matters, tenant complaints and any buyout or surrender agreements. Underwrite the people and the paperwork - not just the rent roll.

VALUE KILLERS

A brownstone can change tax class, renovation freedom and carrying cost based on a single line in the record.

Three issues deserve their own underwriting: unit count, landmark status, and what zoning actually permits.

07

COMPARING PROPERTY TAXES WITHOUT UNDERSTANDING TAX CLASS - ESPECIALLY 3-FAMILY VS. 4-FAMILY

NYC Tax Class 1 generally includes 1- to 3-family homes; properties with more than three residential units generally fall into Class 2. That is why a 4-family can carry dramatically different taxes than a similar-looking 2- or 3-family. Review the actual tax bill, assessed value, exemptions and assessment history - not just the listing's annual-tax field.



08

IGNORING THE NEW NYC NON-PRIMARY RESIDENCE SURCHARGE ON HIGH-VALUE HOMES

NEW IN 2026

New for 2026-27 and 2027-28: certain 1- to 3-family homes with a DOF market value of \$5 million or more may face an annual surcharge if the property is not used as a primary residence. Rates currently range from 0.8% to 1.3% of DOF market value for these homes. Primary-residence use by an owner, qualifying family member or tenant can matter. Underwrite this before buying a high-end second home or investment property.



09

NOT CHECKING LANDMARK STATUS, ZONING, FAR AND DEVELOPMENT RIGHTS BEFORE PRICING "POTENTIAL"

A rear extension, rooftop addition, facade change or extra floor may be restricted by zoning, lot conditions, code, easements or Landmarks Preservation Commission review. In a historic district, most exterior changes require LPC approval - even when the work does not otherwise need a DOB permit. Use ZoLa and an architect to test the concept before paying for theoretical square footage.



HIGH-VALUE BUYER NOTE

The new non-primary residence surcharge is based on DOF market value, not simply the contract price. Separately, NYC buyers at \$1M+ should also budget the buyer-paid NYS mansion tax, with higher supplemental brackets beginning at \$2M.

OLD HOUSE, NEW RULES

A “good inspection” should be tailored to a 100+ year-old attached masonry building.

Beyond boiler/roof/plumbing, today's buyer should ask about recurring compliance obligations and environmental records.

10

USING A GENERIC INSPECTION INSTEAD OF A BROWNSTONE-SPECIFIC PHYSICAL REVIEW

Focus on the expensive systems: roof and drainage, parapets/cornices, facade and rear wall, joists and settlement, cellar moisture, sewer line, electrical service, supply/waste piping, boiler/HVAC, chimneys/fireplaces, termites and evidence of prior structural work. If there is a deck, extension or visible movement, bring in the right specialist before contract.



11

NOT CHECKING LEAD, ASBESTOS AND THE RECORDS THAT CAN FOLLOW AN OLD RENTAL BUILDING

COMPLIANCE

Pre-war brownstones deserve environmental diligence. For many pre-1960 tenant-occupied properties, NYC lead rules require testing and recordkeeping; the one-time painted-surface testing deadline passed in 2025. Renovation work can also trigger asbestos investigation and abatement requirements before DOB permits are issued. Ask what testing was done and budget remediation if records are missing.



12

IGNORING ONGOING BUILDING-SAFETY OBLIGATIONS SUCH AS PARAPET AND GAS INSPECTIONS

Since 2024, buildings with parapets fronting the public right-of-way generally need an annual parapet observation, with limited exceptions. For many 3+ family buildings, Local Law 152 also requires periodic gas-piping inspections; some community districts are in a 2026 inspection cycle. Ask for the reports and cure history - especially when buying a 3- or 4-family.



ALSO CHECK INSURANCE RISK

Review flood-zone exposure, prior water/sewer-backup history and obtain an insurance quote during diligence. A lender saying “flood insurance not required” is not the same as the property having no flood or drainage risk.

DO THE MATH TWICE

Brownstones are not interchangeable just because they are on the same block.

Legal use, tax class, width, condition, tenancy and financing can move value far more than cosmetic finishes.

13

WAITING UNTIL AFTER THE OFFER TO CONFIRM THE LENDER WILL FINANCE THE ACTUAL PROPERTY

Tell the lender the legal unit count, occupancy, SRO/CONH issues, renovation scope and tenant status up front. A 4-family, mixed-use building, property with mismatched legal use, or major construction plan can require a different loan product or appraisal treatment. A financing preapproval for "a townhouse" is not enough.



14

RUNNING COMPS WITHOUT MATCHING THE FEATURES THAT ACTUALLY DRIVE TOWNHOUSE VALUE

Compare closed sales by unit count, tax class, neighborhood micro-location, width, usable square footage, condition, landmark status, tenancy and outdoor/parking features. A 1- or 2-family often trades at a different price per square foot than a 3- or 4-family. Asking prices are context; closed sales are evidence.



15

BUILDING A TEAM THAT KNOWS RESIDENTIAL DEALS BUT NOT NYC BROWNSTONES

Your broker, attorney, lender, inspector and - when needed - architect/expeditor should understand townhouse-specific problems: SRO/CONH, rent regulation, CO mismatches, landmark review, DOB closeouts and the tax-class consequences of unit count. Specialized diligence can save far more than it costs.



CLOSING-COST REALITY

Budget beyond the down payment: attorney/title costs, lender fees, appraisal, inspection/specialists, mortgage recording tax when financing, and the buyer-paid NYS mansion tax on residential purchases of \$1M+. Keep a separate reserve for immediate building work.

BEFORE YOU TOUR TWICE

Run this screen before you fall in love with the staircase.

It will not replace legal or technical diligence, but it can tell you where the deal is likely to get expensive.

PROPERTY RECORDS

- 1 **DOB**
CO / legal use; open permits/jobs; violations; OATH; stop-work history
- 2 **HPD**
Violations, complaints, vacate orders, litigation/charges, registration
- 3 **HCR**
Rent-regulation history, registrations, rent roll/history, pending orders
- 4 **CONH**
SRO / rooming-house status; whether covered work needs a CONH
- 5 **DOF**
Current tax bill, assessed value, tax class, exemptions, assessment history
- 6 **ACRIS / PIP**
Deed, mortgages, liens, recorded documents, lot details
- 7 **ZoLa**
Zoning district, lot, overlays, special districts, theoretical development
- 8 **LPC**
Historic district / individual landmark status, permit and violation history
- 9 **Flood maps**
Flood zone plus practical water/sewer-backup questions
- 10 **Insurance quote**
Premium, exclusions, replacement-cost assumptions, loss history questions

RED FLAG #1

The listing says “3-family,” the tax record says 4 units, and the CO says 2. Do not decide which one you like best. Have the team reconcile them.

RED FLAG #2

The seller says the tenants are “market” and leaving soon. Verify the leases, regulatory status and legal path to possession before assigning vacancy value.

RED FLAG #3

The listing advertises unused FAR or an easy 2-family conversion. Ask an architect to prove the path, including zoning, code, egress, light/air, LPC and CONH issues.

RED FLAG #4

Taxes look “too high” or “too low” compared with neighboring townhouses. Check unit count and tax class before treating the difference as an error.

Your pre-contract brownstone checklist

- | | |
|--|---|
| ☐ Legal use and unit count match the physical building | ☐ Zoning / FAR / development concept reviewed by an architect if value depends on it |
| ☐ DOB violations, OATH summonses, permits and open jobs reviewed | ☐ Brownstone-specific inspection and environmental diligence completed |
| ☐ HPD violations, complaints, vacate orders and charges reviewed | ☐ Parapet / LL152 compliance records requested where applicable |
| ☐ Every tenancy reviewed for lease terms, rent regulation and Good Cause exposure | ☐ Insurance quote and flood / water risk reviewed |
| ☐ SRO / CONH status confirmed for intended work | ☐ Lender has approved the actual legal use / unit count |
| ☐ Actual property taxes, tax class and assessment history underwritten | ☐ Closed comps adjusted for unit count, tax class, width, condition and tenancy |
| ☐ Non-primary residence surcharge analyzed if relevant | ☐ Closing costs + first-year repair reserve are in the budget |

OFFICIAL RESOURCES USED FOR THE 2026 - 2027 UPDATE

- DOB: CO / violations / LL152 / parapets
- HPD: HPD Online / CONH / Good Cause / lead
- NYS HCR: Office of Rent Administration
- NYC DOF: Property Information Portal / taxes / non-primary surcharge
- NYC Planning: ZoLa / Zoning Resolution
- LPC: permits and landmark alterations
- NYC Flood Maps
- NYS Tax: real estate transfer / mansion tax



NEED A SECOND SET OF EYES ON A NYC BROWNSTONE?

Schedule a complimentary buyer consultation.

BOOK A CALL

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Information only - verify each property with qualified professionals.